DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

I

UNIT I READER

Performance Management Foundations

Goals, OKRs, scorecards, coaching, and the trust that makes a system work

Weeks 4 to 6 | Exam preparation | 10 readings explained

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About this reader

HOW TO USE IT

This reader is a companion to the set readings, not a replacement for them. For each reading it explains the argument in plain language, lists the ideas you must hold, shows how to apply them, flags common confusions, and gives questions to think with as you prepare for the end term examination. Read the original first, then use this reader to check your understanding. Folder names refer to the course Readings folder.

Unit I moves from diagnosis to design. Having learned in Unit II why people engage and what motivates them, you now study the tools organizations use to manage performance: goals and OKRs, balanced scorecards, coaching conversations and continuous feedback. The unit ends with trust and the psychological contract, because every system is only as strong as the trust that carries it.

Keep two questions in mind for every reading. First, what does this tool assume about people and their managers? Second, what does it need from managers in an ordinary week to work? A design that is sound on paper but asks more of managers than they can give will fail in practice.

READING MAP

Week	Set readings	Folder	Exam edition lectures
4	Buckingham and Goodall (2015), read again; Locke and Latham (2002); Doerr (2018) Ch 1 to 3	08_Readings top level; Unit 1 / Unit 1:Core	L1 to L3
5	Kaplan and Norton (1996) Ch 1; Whitmore (2017) GROW chapter; Cappelli and Tavis (2016)	Unit 1 / Unit 1:Core (Kaplan and Norton not yet filed)	L1 to L3
6	Rousseau (1995) Introduction; Mayer, Davis and Schoorman (1995); Schaufeli and Bakker (2004), read again; synthesis review	Unit 2 / Unit 2:Core (Rousseau and Mayer et al. not yet filed)	L1 to L3

The readings, one by one

Week 4 Read again

Buckingham, M., & Goodall, A. (2015). Reinventing performance management. *Harvard Business Review, 93*(4), 40–50. (Reread through the design lens.)

HOW TO READ IT

In Week 1 you read this article as an argument against annual ratings. Now read it as a designer. List each design choice Deloitte made (frequency, who answers, what is asked, how results are used) and, for each, the problem it was meant to solve. Then ask what each choice requires of team leaders every week.

Week 4 Core

Locke, E. A., & Latham, G. P. (2002). Building a practically useful theory of goal setting and task motivation: A 35 year odyssey. *American Psychologist, 57*(9), 705–717.

THE ARGUMENT IN BRIEF

Locke and Latham summarize decades of research on goal setting. Specific, difficult goals lead to higher performance than easy goals or vague instructions to do one's best. Goals work through four mechanisms: they direct attention, energize effort, increase persistence, and prompt people to discover strategies. Their effect depends on moderators: commitment to the goal, feedback on progress, the complexity of the task, and ability.

IDEAS TO HOLD

- Specific, difficult goals outperform easy or vague goals.
- Four mechanisms: direction, effort, persistence, strategy.
- Four moderators: commitment, feedback, task complexity, ability.
- Performance rises with difficulty until ability or commitment runs out.

APPLY IT

For a stretch target, check each moderator. Without feedback or commitment, the goal effect weakens. On complex new tasks, set learning goals first (Seijts and Latham, 2005).

EASY TO CONFUSE

SMART is a practitioner checklist (Doran, 1981); goal setting theory is the research that explains why specific, difficult goals work. Do not treat them as the same thing.

QUESTIONS TO THINK WITH

- Why might a demanding sales target harm a new hire's performance?
- What does the goals gone wild critique (Ordóñez et al., 2009) add to this picture?

Week 4 Core

Doerr, J. (2018). *Measure what matters: How Google, Bono, and the Gates Foundation rock the world with OKRs*. Portfolio. Chapters 1 to 3.

THE ARGUMENT IN BRIEF

Doerr tells the story of objectives and key results: how Andy Grove developed the approach at Intel from management by objectives, and how Doerr introduced it to Google. An objective states what is to be achieved; key results state how progress will be measured and must be verifiable. Doerr argues that OKRs help organizations focus on a few priorities, align and connect teams, track progress, and stretch for ambitious results.

IDEAS TO HOLD

- OKRs grew from management by objectives through Grove at Intel.
- Objective: what; key results: measurable, verifiable evidence of progress.
- Few priorities, transparency, regular tracking and stretch.

APPLY IT

Test any key result: is it an outcome, is it measurable, and could someone verify it? If it describes an activity, rewrite it as a result.

EASY TO CONFUSE

Doerr is a practitioner account. For the evidence on goals, use Locke and Latham (2002); for the evidence that commitment from the top decides results, use Rodgers and Hunter (1991).

QUESTIONS TO THINK WITH

- Why do OKR systems usually keep goals separate from pay?
- What would a stretch objective look like for a hospital ward?

Week 5 Core

Kaplan, R. S., & Norton, D. P. (1996). *The balanced scorecard: Translating strategy into action*. Harvard Business School Press. Chapter 1.

THE ARGUMENT IN BRIEF

Kaplan and Norton argue that financial measures alone look backward and cannot steer a strategy. The balanced scorecard adds three further perspectives: customer, internal business process, and learning and growth. Used well, it becomes a strategic management system that translates vision into objectives and measures, communicates and links them through the organization, informs planning, and supports feedback and learning.

IDEAS TO HOLD

- Four perspectives: financial, customer, internal process, learning and growth.
- The scorecard translates strategy into objectives and measures.

- It is meant to be a management system, not only a report.

APPLY IT

When a case asks how to align people with strategy, show how one strategic objective would appear in each perspective, then down to a unit and a person.

EASY TO CONFUSE

The scorecard assumes cause and effect runs from learning to process to customers to financial results. Nørreklit (2000) argues these links are often assumed, not tested.

QUESTIONS TO THINK WITH

- What could go wrong if every measure on a scorecard is tied to bonuses?
- When is a scorecard more useful than OKRs?

Week 5 Core

Whitmore, J. (2017). *Coaching for performance* (5th ed.). Nicholas Brealey. Chapter on the GROW model.

THE ARGUMENT IN BRIEF

Whitmore presents coaching as unlocking a person's potential to maximize their own performance, by building awareness and responsibility rather than giving instructions. The GROW model structures a coaching conversation in four stages: Goal (what the person wants), Reality (what is happening now), Options (what could be done) and Will (what the person will do, and when).

IDEAS TO HOLD

- Coaching builds awareness and responsibility in the person coached.
- GROW: Goal, Reality, Options, Will.
- Questions, not instructions, drive the conversation.

APPLY IT

Use GROW to structure a development conversation in an answer, with one example question per stage. Note that in a high power distance culture, trust and privacy may need to come first.

EASY TO CONFUSE

Coaching is not the same as mentoring. Coaching usually targets a specific goal over a shorter time; mentoring concerns the wider career and person (Unit IV).

QUESTIONS TO THINK WITH

- Why is GROW described as supporting autonomy?
- When is telling better than coaching?

Week 5 Core

Cappelli, P., & Tavis, A. (2016). The performance management revolution. *Harvard Business Review, 94*(10), 58–67.

THE ARGUMENT IN BRIEF

Cappelli and Tavis explain why many large firms abandoned annual appraisals. They point to three forces: in tight talent markets, developing people pays better than ranking and replacing them; fast change makes annual goals outdated; and work increasingly done in teams fits poorly with individual ratings. They describe the move toward frequent conversations and flexible goals, while noting the difficulties that remain, such as how to decide pay without ratings.

IDEAS TO HOLD

- Three forces: the value of development, the need for agility, the rise of teamwork.
- Annual goals and ratings fit stable work and plentiful talent.
- New systems still have to solve the pay decision problem.

APPLY IT

When asked whether an Indian firm should follow the trend, test the three forces in that firm. If its work is stable and individual, the case for change is weaker.

QUESTIONS TO THINK WITH

- Which of the three forces is strongest in an Indian IT services firm?
- How might a firm decide pay once it stops rating?

Week 6 Core

Rousseau, D. M. (1995). *Psychological contracts in organizations: Understanding written and unwritten agreements*. Sage. Introduction.

THE ARGUMENT IN BRIEF

Rousseau defines the psychological contract as an individual's beliefs about the terms of the exchange between that person and the organization, including promises that were only implied. Contracts differ in time frame and in how specific they are: transactional contracts are short term and specific, relational contracts are open ended and broad, and Rousseau also describes balanced and transitional forms.

IDEAS TO HOLD

- The contract lives in the mind of the employee and includes implied promises.

- Transactional and relational contracts sit at two ends; balanced and transitional forms lie between.
- Change programs can break contracts that were never written down.

APPLY IT

Before introducing a new performance system, ask which implied promises it may break, such as a promotion path or job security, and plan how to renegotiate them openly.

EASY TO CONFUSE

Breach is the judgment that a promise was broken; violation is the emotional response that may follow (Morrison and Robinson, 1997).

QUESTIONS TO THINK WITH

- What implied promise might forced ranking break?
- Is a gig worker's contract transactional by definition?

Week 6 Core

Mayer, R. C., Davis, J. H., & Schoorman, F. D. (1995). An integrative model of organizational trust. *Academy of Management Review, 20*(3), 709–734.

THE ARGUMENT IN BRIEF

Mayer, Davis and Schoorman define trust as the willingness to be vulnerable to another party based on positive expectations of its actions, whether or not one can monitor it. Trust depends on the trustor's general propensity to trust and on three qualities of the trustee: ability, benevolence and integrity.

IDEAS TO HOLD

- Trust is willingness to be vulnerable, not just a feeling.
- Three trustworthiness factors: ability, benevolence, integrity.
- The trustor's propensity to trust also matters.

APPLY IT

Diagnose which factor a failed change damaged. A payroll error damages perceived ability; a hidden policy change damages integrity. The repair differs (Kim et al., 2004).

QUESTIONS TO THINK WITH

- Which factor does a manager build fastest, and which slowest?
- How might electronic monitoring affect each factor?

Week 6 Read again

Schaufeli, W. B., & Bakker, A. B. (2004). Job demands, job resources, and their relationship with burnout and engagement: A multi sample study. *Journal of Organizational Behavior, 25*(3), 293–315. (Reread for interpreting pulse data.)

THE ARGUMENT IN BRIEF

Across four samples, Schaufeli and Bakker found that burnout and engagement are negatively related but distinct. Burnout was predicted mainly by job demands and a lack of resources and linked to health problems; engagement was predicted only by job resources. Both related to intention to leave.

IDEAS TO HOLD

- Burnout and engagement are related but distinct.
- Demands mainly drive burnout; resources drive engagement.
- Both affect intention to leave.

> **APPLY IT**
>
> When reading a pulse survey, look at burnout and engagement separately. A rise in engagement does not mean burnout fell, and the remedies differ.

> **QUESTIONS TO THINK WITH**
>
> - A pulse shows engagement up and exhaustion up. What could explain both?

Week 6 Revision

Synthesis review: Buckingham and Goodall (2015), Doerr (2018) and Cappelli and Tavis (2016), as listed in the Lesson Plan.

HOW TO READ IT

Read the three together and build one table: what each says is wrong with traditional appraisal, what each proposes instead, and what each assumes about managers. This table is a strong basis for any question on continuous performance management.

Matching the tool to the situation

Most examination questions in this unit ask you to choose or evaluate a design. Use the table to match the situation to the tool, then name the condition the tool needs to succeed.

If the situation is...	The tool that fits	What it needs to work
Clear, measurable tasks; effort is the gap	Specific, difficult goals	Commitment and feedback
Fast change; need for focus and stretch	OKRs	Few priorities; separation from pay; regular review
Strategy not reaching the front line	Balanced scorecard	Tested cause and effect links; a short list of measures
Capability gaps and low ownership	Coaching (GROW)	Manager skill and time; trust
Low trust after a failed reform	Trust repair (Mayer et al.)	Diagnose which factor was damaged; visible action

KEY TERMS

Term	Meaning
Key result	A measurable, verifiable outcome that shows progress toward an objective.
Balanced scorecard	A set of measures across financial, customer, process, and learning and growth perspectives.
GROW	Goal, Reality, Options, Will: a structure for coaching conversations.
Psychological contract	An employee's beliefs about the terms of exchange with the organization.
Trust	Willingness to be vulnerable to another based on positive expectations of its actions.

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All references were checked against Crossref, publisher or library records. Works cited in Apply it and Easy to confuse boxes are explained in the lecture slides.